



TITAN GRID: A SMART FACTORY FOR NEAR-SHORING THE PRODUCTION OF TRANSFORMER TANKS AND RADIATOR FIN WALLS



FIN-2.2: CAPEX Schedule – Capital Deployment Strategy

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FIN-2.2: CAPEX Schedule – Capital Deployment Strategy

TITAN Grid – Structured Investment Execution

Source document:

- **Total CAPEX: €18.28 million**
- **Implementation Period: 14 months (Construction + Equipment Installation)**
- **Currency: EUR (€)**

Executive Summary: CAPEX Optimized for Return and Risk Control

The structure of the TITAN Grid capital expenditure is crafted to:

- **Maximize productive asset allocation (automation-driven output)**
- **Minimize execution risk through phased deployment**
- **Ensure early operational readiness and rapid cash flow generation**

Capital is strategically invested—not merely allocated—to enhance IRR and safeguard against downside risk.

1. CAPEX Structure by Category

The allocation reflects a contemporary Industry 4.0 model, emphasizing technology over construction.

CAPEX Breakdown

Category	Amount (€)	% of Total	Strategic Role
Land & Infrastructure (Sunk)	1,081,424	6%	Fully owned site (collateral base)
Industrial Facility (Factory Hall)	6,400,000	35%	Tier-1 compliant Smart Factory
Core Technology Equipment	8,000,000	44%	Revenue-generating assets (laser, robotics)
Solar Energy System (1.4 MWp)	1,200,000	7%	Energy hedge + ESG compliance
Software & Digital Twin	600,000	3%	Production optimization & traceability
Furniture & IT Infrastructure	200,000	1%	Operational support systems
Contingency Reserve	800,000	4%	Risk buffer (≈5% of hard CAPEX)





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Key Insight

- **>47% of CAPEX allocated to technology + software**

→ **Directly drives:**

- **Revenue generation**
- **Margin expansion**
- **Scalability**

→ **Directly supporting the project's 32.8% IRR and a 4.1-year payback profile.**

2. CAPEX Quality: Productive vs. Non-Productive Capital Capital Efficiency Analysis

Category Type	Share	Interpretation
Productive Assets (Equipment + Software)	~47%	High revenue-generating base
Infrastructure (Building + Land)	~41%	Necessary but non-revenue generating
ESG & Energy	~7%	Cost hedge + financing advantage
Contingency	~4%	Execution risk protection

Investor Interpretation

→ **A high share of productive CAPEX indicates:**

- **Faster revenue ramp-up**
- **Higher capital productivity (Revenue / CAPEX)**
- **Stronger EBITDA margins**

3. Disbursement Timeline (2026–2027) Phased Capital Deployment Strategy

CAPEX is released in controlled tranches aligned with execution milestones, minimizing risk and optimizing liquidity.





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Phase 1: Mobilization (Q2 2026)

- Disbursement: ~€2.5M
- Advance payments for:
- Steel structure
- Long lead-time equipment

Purpose: Lock supply chain & avoid delays

Phase 2: Construction Phase (Q3–Q4 2026)

- Disbursement: ~€5.5M
- Civil works (factory construction)
- Milestone-based contractor payments

Purpose: Physical asset realization

Phase 3: Technology Installation (Q1–Q2 2027)

- Disbursement: ~€7.5M
- Delivery & installation of:
- Robotic welding systems
- Fibre laser cutting
- Solar PV deployment
- Final equipment payments (SAT – Site Acceptance Test)

Purpose: Enable production capability

Phase 4: Finalization & Ramp-Up (Q3 2027)

- Disbursement: Remaining balance
- Working capital buffer
- Operational readiness

Purpose: Smooth transition to revenue generation

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4. Depreciation Policy (P&L Impact)

Depreciation is structured to enhance tax efficiency and financial performance.

Asset Class	Useful Life	Method
Buildings	20–30 years	Straight-line
Technology Equipment	~10 years	Accelerated (high-tech)
IT & Software	3–5 years	Straight-line

Financial Impact

- Reduces taxable income
- Enhances early-stage cash flow
- Improves equity returns

5. Risk Mitigation Embedded in CAPEX Design

1.Contingency Buffer

- €800K (~5% of CAPEX)

→ Covers:

- Material price fluctuations
- Construction overruns

2.Phased Payments

- Linked to milestones

→ Prevents:

- Capital misallocation
- Contractor risk

3.Lead-Time Protection

- Early ordering of critical equipment

→ Eliminates:

- Supply chain delays
- COD slippage risk





6. Link to Financial Performance

The CAPEX structure directly supports key financial outcomes:

CAPEX Feature	Financial Effect
High automation investment	EBITDA margin (28–32%)
Solar integration	Reduced OPEX volatility
Efficient phasing	Faster COD → higher IRR
Contingency reserve	Downside protection

7. Credit Committee Perspective

From a lender's viewpoint, this CAPEX structure illustrates:

- Controlled deployment risk
- High asset quality (collateral value)
- Strong connection between CAPEX and cash flow generation

Conclusion: CAPEX as a Value Engine

“The TITAN Grid CAPEX structure exemplifies a modern, capital-efficient industrial model—where investment is focused on revenue-generating assets, deployed in a managed timeline, and safeguarded against execution risk.”

Final Investment Insight

This CAPEX strategy guarantees:

- Fast transition from investment → cash flow
- High return on invested capital
- Strong protection against execution risk

→ Directly supporting the project’s 32.8% IRR and 4.1-year payback profile

